

Trading, in Pub English

Every term in the book, the school and the analysis — explained the way a mate would across a table. 40 terms, no jargon left standing.

Ask

The price you buy at. Always a touch higher than the bid — the gap is the spread.

Base currency

The first currency in a pair. The price says how much of the second one unit of this buys.

Bearish

Expecting a price to fall. The bear swipes down.

Bid

The price you sell at.

Breakout

Price escaping a level it's been stuck under (or over). Real ones keep going; fake ones snap back and take beginners' money with them.

Bullish

Expecting a price to rise. The bull tosses up.

Candlestick

One bar of price history: open, high, low, close, drawn so you can read the fight at a glance.

Central bank

A country's money authority (Bank of England, the Fed). The single biggest force in forex.

Cross

A pair without the US dollar in it, like EUR/GBP.

Drawdown

How far your account has fallen from its peak. The number that decides whether you survive long enough to be right.

Economic calendar

The diary of scheduled news releases — rate decisions, jobs numbers, inflation prints — that move markets.

Entry

The price where your trade opens.

Exotic

A major currency paired with a smaller economy's. Wide spreads, sudden moves — not a beginner's playground.

Fill

The actual price your order executed at, which is not always the price you asked for.

Fundamentals

The economic story behind a currency: growth, inflation, interest rates, politics.

Going long

Buying — profiting if the price rises.

Going short

Selling first — profiting if the price falls. Completely normal in forex.

Leverage

Trading with more exposure than your deposit. Multiplies both directions — the loaded word in retail trading.

Liquidity

How easily you can trade without moving the price. Majors have oceans of it; exotics have puddles.

Lot

A standard position size: 100,000 units of the base currency. Minis (10k) and micros (1k) exist for sane humans.

Major

A heavyweight dollar pair: EUR/USD, GBP/USD, USD/JPY and friends. Tightest costs, deepest markets.

Margin

The deposit your broker holds while a leveraged trade is open.

Margin call

The broker telling you your account can no longer support your open trades. You never want the call.

Pip

The market's inch — the standard unit of price movement, usually the fourth decimal place.

Pipette

A tenth of a pip. Fine print.

Position sizing

Deciding how much to trade so a normal loss stays boring. The most underrated skill in the game.

Quote currency

The second currency in a pair — the one the price is counted in.

R-multiple

Profit or loss measured in units of what you risked. Risked £50, made £100 — that's +2R. The only honest scoreboard.

Range

A market bouncing between a floor and a ceiling, going nowhere with enthusiasm.

Resistance

A ceiling where selling has repeatedly shown up.

Retest

Price returning to a broken level to check it holds from the other side. The polite entry.

Risk-reward

What you stand to make versus what you're risking. 2:1 means the win pays double the loss.

Slippage

The difference between the price you wanted and the price you got, usually in fast markets.

Spread

The gap between bid and ask — the cost of every trade, paid on the way in.

Stop loss

The pre-set exit that caps a loss when the idea is proven wrong. Non-negotiable in our book.

Support

A floor where buying has repeatedly shown up. The market's memory.

Swap

The small overnight charge (or credit) for holding a position, driven by interest-rate gaps.

Take profit

The pre-set exit that banks the win at your target.

Trend

The market's prevailing direction — higher highs and higher lows up, the mirror down.

Volatility

How violently a market moves. Opportunity and danger are the same number.
